Credit Suisse HALO Investment Summit

Company Participants

- John Fieldly, Chief Executive Officer

Other Participants

- Kaumil Gajrawala, Credit Suisse

Presentation

Kaumil Gajrawala {BIO 20703548 <GO>}

Good morning, everybody. Thanks for attending Day 2 of HALO Conference. I'm Kaumil Gajrawala, health wellness, healthy living beverages, household personal care. And really, anything else that Christ was asking me to do.

With me this morning is John Fieldy, CEO of Celsius Energy, Celsius Beverage and (multiple speaker) and I'm sure you've seen. We've got plenty of fitness things going on outside.

John Fieldly {BIO 17560616 <GO>}

That's great here.

Questions And Answers

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

(Question And Answer)

Feel free to try the products. Let's kick off with the selling proposition on how energy drinks, and how energy drinks are evolving as a category and then we'll get into some more details.

A - John Fieldly {BIO 17560616 <GO>}

Yes. Absolutely. I mean Celsius, as you see in the video, we just showed it's all about living in healthy taking Mike to the next level. One thing we're about is Celsius has lifted -- that's essential energy for life. And when you look at where the categories going, I mean we're here to help them on this consumer conference. It's a mega trend, it's -- in our DNA coming out of the pandemic. We need to live healthier lives better, live longer, and that's what it's all about and with Celsius and our DNA, we are born in fitness, health and wellness. And really, we align for where the trends are going for today and tomorrow. And we're seeing that, you talk about the energy category, you're seeing the energy category. I mean, you look at beyond meats and the meat category and you look at all categories. It's we all want more and we want our foods and our beverages do more than just provide that hydration or something along those lines.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

So, the proposition of Celsius has been -- has been similar for a long time, then you involved it to lift it. What was the moment with that or what happened that really changed the trajectory of the product?

A - John Fieldly {BIO 17560616 <GO>}

But original regularly our founders, actually, what's interesting about Celsius, it was, at Celsius, it was not born from people in the beverage industry that created a functional beverage. The product was born from really dietary supplement formulators that created a beverage. So, the beverage is created to perform, it has over seven essential vitamins. It's backed by 6 clinical studies, that actually is a clinically proven to be a thermogenic, burn calories, and body fat, actually 140 calories per can.

So originally, the proposition was to go after the diet industry, and in the dietary supplement base, and the product that the time, you had tablets and capsules as fat burners, and there wasn't really a beverage that was on the market. So, that's where Celsius that's were Celsius was born, and was born right around the same time, when a Vegan came out. Remember, I don't know, many of you and -- remember in Vegan back in the day, but Nestle in co-partner on a Vegan, it was a negative calorie soda, launched around the same time as Celsius. And unfortunately, didn't have the right science behind the product, because keep in mind Celsius was created by people in the nutraceutical space and they understand the importance of science coming from dietary supplements, which is really critical, when you're making structures function claims.

So unfortunately, Coca Nestle, got shutdown by the FTC, Celsius has been reviewed by the FTC, actually the end -- the national advertising division as well. We've gone through class action lawsuits in California and prevailed. So, our product is their claims that the product makes are extremely strong there. So originally, it was launched as this diet product, going after the diet category, which is a massive category, I've been with the company now for every turn in 2012, it is a turnaround story. We're probably one of the only consumer products, may be the only company actually had this conference that's been delisted, practically every retailer in the country and delisted of NASDAQ.

So, we're back on now. And on Friday, we're ringing the bell for our fifth-year anniversary on NASDAQ, we're pretty excited about that. But we probably back in, when we first started, we took the original pieces and went after the diet crowd, we did Couch to 5K programs, a lot of different advertising programs.

And what's fascinating with the product, there's so many people that the product has changed their lives, really has gotten people to live healthy, live better. We used to have it before and after piece on our website. It's amazing. The products touch so many people, but we saw we have something more than a diet product. We have an amazing energy drink, when you consume product, when you consume Celsius, you feel better, there's no crash and no jitters. We do have a sampling booth outside. So, please grab go, say hello to a list out front and get a product try some of our new flavors, as we -- so many of you already, hit that up on coming in here, but the products great. Like you don't get the crash like many other energy drinks and the way it's built with ginger, the touring in the product, you don't get the jitters and no crash. So, that's when we made the pivotal change. It was really 7/11 back in 2000, and right around 2015, we've really started to position the transition of the company to go after the energy category, which is a much larger TAM as well. And that's been successful 7/11 believed in us as a healthy better for you energy drinks and it was really one of the first believers to put us in that energy category.

And then, we use that story from that point, which we're still in today nationwide with full shells and just launched an our first exclusive flavour with them in January. And so that really 2015 was a pivotal point.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

I think three of those before noon yesterday, but from hearing, what you just said, is an excuse to have the short ribs I had last night, I suppose. Let's talk about TAM. You mentioned TAM. How do you think about TAM, because the view of energy drinks is blurring as a category. It's coming to the sports drinks. It's coming into hydration. It's moving bit more broader than just share versus RedBull or Monster. So, how are you thinking about the TAM in category size?

A - John Fieldly {BIO 17560616 <GO>}

Yes. What's interesting, I mean you look at it TAM, I talk to our sales team members all the time about this. How big can we be? Where do we see the category and --

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

If their answers --

A - John Fieldly {BIO 17560616 <GO>}

Talk like that. Well, what their answer is brands create these subcategories and categories to keep the relevance. So if you look at like, talk about the energy category, we like to say traditional energy better for you, new age performance energy.

The reason why that's really segment and is because the largest brands in that category are really forcing the other brands to move into other sections. So, as an example, your new age, you need to go bottom right, in the greater -- all your performance, you go greater, upper, right? So, it's really trying to protect their shelf space. What's fascinating if you look at the beverage category as a whole, you look at the top five beverages in the category, two of them are energy drinks. Two with us high excuse in the whole category. So, one could argue, we're going after the beverage category, not the energy category as its reported today. And what's also fascinating is we're seeing anecdotal we're at the NRA ratio this week. So, we have great booth, getting a lot of excitement from the food service industry.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

National Restaurant Association.

A - John Fieldly {BIO 17560616 <GO>}

National Restaurant Association, so, a massive show --

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Whether one NRA.

A - John Fieldly {BIO 17560616 <GO>}

That's right. National Restaurant Association, absolutely. But we've seen a lot of opportunities. So, what you're seeing historically, we're hearing some anecdotal information from convenience store and a lot of Dallas is well, that when consumers are purchasing Celsius, they're purchasing another food item. They're purchasing a salad, they're purchasing a snack, we're also seeing it sold during lunch time with meals. And historically, when you look at like a Red Bull of Monster and even a Bang, they're really just the sale is just one. They're coming in and buying a Red Bull and Monster, Bang. And it's almost like an appetite suppressant, versus we've heard this from a lot of our store owners that Celsius is actually helping me increase the ring at the register, because consumers are buying it with other items. So, that makes us talk about, not just the energy category, the bigger opportunity we potentially have here with Celsius going after the beverage category.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

It's interesting. So story very recently has been about distribution, which I do want to get to, but which you just mentioned is about expanding occasions, and it sounds a little bit as bit as a bonus in evolution of the brand. So, can you maybe talk about that more this drill into that a bit on how Celsius is expending energy drink occasions?

A - John Fieldly {BIO 17560616 <GO>}

Yes. I mean, originally when you go back to history, right? I mean, we were pre-workout originally, and a lot of our science is based on consuming Celsius 15 minutes before a workout or a fitness activity. So, that was our main usage occasion. And then, as we evolved into energy, we played into those day parts in the energy category going after lunch crowd, because after lunch, a lot of folks get coffee or energy drink and going after that day part.

And what we're seeing is, we have a massive opportunity going after now a the crowd, the lunch crowd. So, we're looking at the food service industry, those type of opportunities. And as the brand really gets broader distribution, we're learning more, where Celsius can play within the categories and within the different in the different channels and parts of consumption. So, it is quite interesting, probably--

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Fee service part of your business? And --

A - John Fieldly {BIO 17560616 <GO>}

Very small right now. Very small -- it's not a big part of the business at all, that would all be incremental for us. And just, like I said, we're learning more about this brand each and every day and that's anecdotally information that's coming in pretty loud. And we're hearing that from our distributors with 288 distributors across the country and they're getting us into these new channels where we haven't been able to do, you didn't have the access before.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Let's roll into distribution. So, you sign the deal with ABI going into DSD?

A - John Fieldly {BIO 17560616 <GO>}

Not going a ABI but, independent ABI distributors, wholesalers, distributors. Yes.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

A make decisions entirely on their own?

A - John Fieldly {BIO 17560616 <GO>}

Correct.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

So, that was a moment in time for the company that really, where it sort of inflected. You're still in process of this DSD switch over's, talk about how far along you are And with the -- what's remaining in terms of making that change?

A - John Fieldly {BIO 17560616 <GO>}

I think, when you look at our distribution where in 288 distributors, independent distributors across the country, so about a great distributors across the country and from John Lenore, Lakeshore, big guys are in New York, and we're probably about 70%, 75% of our distribution now has been turned over to DSD. We have kind of public space and some retailers that have not turned over. But we're working on that. There's tremendous value and switching over to GSD, with a high-velocity products. So when you see, , we need to be cold. When we notice when Celsius has the same shelf, space or presence as the two largest players, in the energy category. We will perform at the same level, if not better than them. So, the only way you can get there is with a DSD partner, getting that white glove service. You have to be closed, you have to get additional placements. And when you're building a brand, you need to own the floor, you have to on the floor.

So, we were big, a lot of our team members. We have over 78 distribution management team members across the country. We're building this plays helping out our distributors, really. We're going to educational process right now. Teaching our distributors do for them, and it's all about making money. So, they want whatever brand they can make the most money with, that's where they're going to kind of put more efforts.

So, we're really it's all about education right now. So, it's optimization, we have the distributors, how do we optimize them. How do we educate them on the amount of money that they can make with Celsius. So, that's really what we're doing right now is this whole education process on. And not all distributors are created equal and it takes time on the education.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Typically, when you have these distribution expansions, velocity goes the other way. It's very natural, start to get into a Walmart. You start to get it, whatever the accounts are? You talk about, what's happening to your velocity as you switch over.

A - John Fieldly {BIO 17560616 <GO>}

Yes. I mean, we've talked about this a lot from on and a lot of the analysts as well investors. It's it seems to be as we're expanding our velocities our increasing. Which is there's two reasons for that.

Number one our distribution has been increasing, we're up to 140 retailers in the country. But simultaneously on the distribution expansion, we've also been able to transition to our account server from a direct wholesale to retail to the DSD.

So that white glove service, we're getting better placements. We're getting higher rotation. We're getting higher velocity naturally. But the other area of opportunity for us is we're back during the energy category and that has to do with a lot of the history around the company.

Unfortunately, we were not able to participate in the energy category, because of this fitness better for you mantra or DNA. We were seeing as a vitamin shop, specialty, didn't belong in that space. Bangs has really opened that door and the eyes of many retailers and health and wellness trends today. They see they need to carry brand like Celsius with the success. We're getting in these other channels. So, Celsius has what we've been. We've grown the channel and grocery mass drug club has been a massive opportunity for us in Q1, watched their and cute Q2 of last year's when we first started testing and Costco and that's been a great success. Assess, but we're back door in the energy category. So, all the doors, a lot of the doors are bringing on or all inconvenience. And that's a higher velocity channel for energy drinks. So the new doors are bringing on have a higher velocity and our existing distribution is flipping over to DSD and getting better placements. So, we're getting higher velocity there as well. So that's how we're able to buck the hurdle on what you see from other companies there.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Yes. The can you talk me a little bit about your share by channels. You've discussed it in the past.

A - John Fieldly {BIO 17560616 <GO>}

Yes. I think, in the shares, I talk about some of them on the public information side, which is really exciting for us, is we study a phenomenal on Amazon. So, Amazon's been a big successful company for many years. We are the number two energy drink brand on Amazon.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

And Monster?

A - John Fieldly {BIO 17560616 <GO>}

And number one is Monster, with a lot of their SKUs and we're about, I think it's 6% and share ahead had a Red Bull. So, massive amounts of volume number two brand and consider. If you consider that, all brands are treated equal on Amazon, right. So, everyone has the same opportunity. So, that's a great data point that we look at seeing that as number two on Amazon. The other great share in the total category, we're out of over a for share now and in the energy category, according to Nielsen. The latest data that came out in April came out in April. So, which is a great success the company just hurdled that in total rock star I mean, , we're those are kind of anecdotal, we've done extremely rollout Costco, we haven't stated the share number or if they have not provided it either. But, we're told we're doing extremely well there as a brand and sales, it's now represents over 20% of our shares, if you look at the first quarter of this year. So, that's really been our second quarter in Costco there.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

So, the big questions we get from investors is this sustainability of your top line? You're obviously growing very quickly, but you've had major Costco rollout. You've had been ABI distribution expansion. Can you talk about sustainability? How should we think about revenue growth should look like over time?

A - John Fieldly {BIO 17560616 <GO>}

Yeah. I mean, if you look at a somewhere between the number two brand and a four share brand as we stand today. So, we're somewhere as if that's the ability to data points I have is this sustainable? We've been growing in the Nielsen scan over 200%, just a theory of numbers kind of is against us, I guess on that those type of growth rates, but we'll see where we continue to grow we've surprised. Every quarter we've exceeded expectations, it's a tough business.

As we get larger instead of we were always hunting. Now, we're being hunted by all these brands as well. So there's a lot of competition. We're aggravating the to -- of the some of the players. So it is a street war, as we all know. It's highly aggressive, but fans love us. Our products are great. We're well positioned. Our retailers we're told they're great to work with as an organization, and we got a lot of great team members on the team so.

We'll see where we go. We don't provide forward-looking information, but we'll see as we continue to grow and scale keep an eye on the scan data work cited where we're headed. I think the company's never been better positions and when you can place.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

How do you think about balancing growth first profitability? You're at a point now where you probably close to where beverage business would start to really scale and you start to see profitability, while your top-line might be there, including at Amazon and such your profitability doesn't look like what Monsters profitability looks like just. And we don't know how much money Red Bull makes, but I'm guessing a fortune. How are you thinking about balancing, share gains, the growth, the top-line was how much you invest?

A - John Fieldly {BIO 17560616 <GO>}

Well, we've done a balanced approach. We've always said, we're going to try drive profitable growth. Story, please you've always said 10% to 15% EBITDA. During these growth phases of our growth cycle, we're stone our growth cycle where over-investing in a lot of our areas and regards to marketing and sales, team members in finance and all of our and all of our departments were making sure we're investing to support the group that's ahead we're growing.

We just grew a 134% in Q1, so, we're not optimized by any means. I think there's a lot of opportunities ahead to continue to. Optimize one that growth. That time, will we be able to get two Monster's, EBITDA numbers, we're going to try that once we reach scale, but we don't want to pull back right now because we're seeing massive opportunities to get that shared gain up and being methodical, coming back at a COVID. We are investing in a lot of events. So we have our Celsius central vibes tour. we're investing in, we're putting a lot of cans in hands, really activating that Gen-Z consumer that the product is extremely aligned with and, and it's working. So, those are somewhat caught higher cost initiative marketing initiatives that we're going after, but we feel it's really key for the brand building phases of the brand. And when you look at our awareness is fairly low at this point. So, we're going to make you strategic bass, we do it's going to deliver spades in the future, as we move forward, but it's a we put up in about the 13% EBITDA or 11% EBITDA in Q1, and I'll put $133 million up in revenue. And I think, have a good cash management, we put $10 million on cash on the balance sheet, operating cash flow so, approximately --

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

I think structural about your business, that would suggest the margin shouldn't get there over time?

A - John Fieldly {BIO 17560616 <GO>}

Were an asset like model. So, right now we got to talk about the orbits. We've talked about six orbits, eventually will go to 13 orbits, that's when you gain really efficiencies. So, it's keeping your warehouse, you're co-packers, your suppliers, your distribution centers distribution center is extremely close in these orbits. And that's when you gain those real efficiencies. So we're working on those as will scale, will get more of those.

Our margins are suppressed right now, because we're going to be made a strategic decision. When we're going through this can pandemic. When we can shortages across the nation.

It imported, a lot of cans from overseas that we need to cycle through anticipate to be cycle through those by the end of Q2.

And then we'll get back to somewhat roughly around the mid -- some mid 45 range in gross profits as we continue to move forward here, based on our channel mix that were watching.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Sir, new news today.

A - John Fieldly {BIO 17560616 <GO>}

I felt like you were going to take longer to get through the cans coming over.

(multiple speakers)

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Q3 service -- we didn't paying for the webcast service option years. Let's talk a little bit about a little bit more on supply. How do you feel about supply now? Do you have what you need? And make sense, meeting with the restaurant association, doing all these other things if the demand is there, but you need to get some cans.

A - John Fieldly {BIO 17560616 <GO>}

Yes. I mean, are you on supply chain? We it's scary out there right now. When you hear about supply chains, containers are getting difficult to get importing raw materials. There's a gridlock over in Asia, just a list owing to an article. Yes. Read an article yesterday about, you have the Sherman are over in California, they're going to renegotiate their contracts on June 9, or June 6, so they could be shutdowns to the porch. So there's in a time that's going to be, technically difficult on supply chain coming back online. So, there's a lot of concerns and risks out there.

The good news is as we made a strategic decision to build their inventories up backing, really October. October and November. So, we're sitting on a good amount of inventory, excess of three-months. If you go back and look at our store run rate, we're sitting on almost six-months of inventory, but on a go-forward basis, we feel we're a little bit shorter than that. We have built up a lot of raw materials. So, we are sitting on a lot of imported cans, we're going to cycle through. We do have flavors, we have all of our raw materials, we feel we're in a really, really good position. And because, we have those extra inventory levels that's going to allow us additional time to maneuver around some of the supply chain constraints that we feel or anticipate will be coming through, which will put us on a better position in many of the competition and the new entries in the category. So in regards to supply chain, we really good spot.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

It's a good space. Let's talk about pricing. Monster was very explicit. I think Kimberly Clark maybe is the only other company that was very explicit on time and price. Time in magnitude of price increased.

A - John Fieldly {BIO 17560616 <GO>}

Yep.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Can you talk about how you're thinking about pricing?

A - John Fieldly {BIO 17560616 <GO>}

Yes. We're really specific on time. Not the percent or the price point, but we've been testing a price elasticity strategies and promotional strategies for the last two years. I think you can see that in the scan data, if you look at the 52 weeks were up. I think the last poll that we saw, it was about 18% on price, if you look back 52 weeks.

So, there's some variances in their timing of promotions, if you look at the shorter timelines four-week, six-weeks and 12-weeks. But in general, we've been really price elasticity testing in all of our channels, and we made a cognizant decision to take price April 1. So, we're rolling out a three phase approach there. I'm taking price front line pricing. And obviously --

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

List price?

A - John Fieldly {BIO 17560616 <GO>}

List price, but that allows you can also discount from that and get some strategies as we roll it out. So, we won't see the full effects and until Q4, but we're slowly rolling it out in a three-phased approach.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

(inaudible) three phase?

A - John Fieldly {BIO 17560616 <GO>}

First phase would be you kind of you do Tier 1, Tier 2, or Tier 3 or what we're doing is we're also rolling out to our distributors first, we have a lot of new accounts coming on board. So, you don't want to take price on some of the new accounts and partners that have come on board. So, those will likely come on board in Q4 there. So, we won't see their true realize benefit until Q4 of the price increase that we do.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

See does a Monster's announcement change your opinion or strategy on how much you're taking?

A - John Fieldly {BIO 17560616 <GO>}

Not at all.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

And how about Red Bull? I guess the --

A - John Fieldly {BIO 17560616 <GO>}

-- That's a Red Bull, yeah. I don't know.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

We don't know about that. I get $0.10 on the small ones and $0.20 on the big ones, which is about 7.6% price increases that change how you're thinking about anything?

A - John Fieldly {BIO 17560616 <GO>}

Not at all.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

How about the recent news from Walmart and martin target, which really had a septic shock through all of CPG. The magnitude of the profit miss their revenues were their profits were, so anyone selling into these big accounts needs to sort of rethink pricing. Has that changed your thinking in any way?

A - John Fieldly {BIO 17560616 <GO>}

Yes. I mean, listen a costs are going up all around the category of the channel. I mean, we're not taking price. I mean for more it would be forced to of all the costs are going up.

So, I think it's just it's - this is the environment in the world we live in today and we're being forced to do it. We wouldn't do it. But, unfortunately this is this is where we're at in the macro and micro environment were in.

It is Walmart and target are going through some challenges. Labor as well that we're all affected by it. It's not just targeting Walmart. This is globally, really all categories. And a lot of companies have taken a lot price, higher price as well and seeing a lot higher expenses. And if you look at some of the prices of our raw materials have increased over a 100% on some of the price increases.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Are you have an opinion about the consumer and how the consumers evolving?

A - John Fieldly {BIO 17560616 <GO>}

With regards to the consumer involving. I think had some investors ask about, that in regards to consumers and you're heading into a potential recession. And how will that be affected in regards to our positioning, where the product is. I think we're in a really good position. Number one, we're in a really loyal category. So, the energy category has really loyal consumers and Celsius is had a loyal consumer from the beginning of time.

Our consumers are extremely loyal with the product. And, if you look at even a Starbucks, you seen a line every morning. People wait an hour and a half for a cup of coffee at Starbucks. It's that's part of your daily Your daily routine as part of your daily lifestyle for an individual to give that up, it has to be really bad. So, that's not going to be your first five things that you're going to give up when you're looking at, heading in and you're getting in and they got to make some choices. There's a lot of other areas that an individual, which before they start getting into their Starbucks or their daily routine, their Celsius. I mean, that's a little bit lower on the priority list. So, we think we're in a good position being cognizant of that, but the category we're going to get category, we have it truly loyal consumer base and we feel like we're going to be lower on the priority list in the event that the consumer has to start making choices.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Is it harder to sell in or bring in new customers? If the consumer is in a little bit of a more difficult position?

A - John Fieldly {BIO 17560616 <GO>}

We're going to have to see how it evolves here, in regards to the proposition. On, what Celsius provides to the consumer, and given the pricing point When we look at our price point were below Red Bull above my slightly above monster. We are a premium offering in the category consumers are making shifts. What's interesting is new consumers to the category.

When you look at our overall, kind of our overall sales in the category about 19% of our sales are new to category. They're 90% of our sales are new to category. So new consumers entering, so work incremental to the category.

And I think when you look at it the last data pull the category grew about $100 million and Celsius is group 7% growth of the category.

So, at we're bringing new consumers in. So, in enhances that could be beneficial and a tailwind for us. And then as consumers are looking for alternatives, better free alternatives. About, I think it's about 24% of our sales according to a record was in regards to brain shifts. So, bulk of our sales are coming from existing consumers. Talking about consuming more Celsius with as expanding usage occasions, 19% new to category and 24% brand shifts. So, I think we're in good shape. We'll see how it evolves and how it plays out, but well position.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Anyways, it suggests you while you compete, obviously with Red Bull and Monster not as directly.

A - John Fieldly {BIO 17560616 <GO>}

Right.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

If you talk about the demographics of your products versus energy as well?

A - John Fieldly {BIO 17560616 <GO>}

Yes. Historically, you go back, historically or demographics has been slightly an older demographic than kind of the target energy during consumer, which is an 18 to 24 male, we were 24 to 44. And that historically those back to our fitness attributes of health, and wellness, and being a pre-workout. But as we've gone broader over the years, and getting broader distribution, and health and wellness so while miss trends have continued to increase, we've seen a massive opportunity, massive growth in the 18 to 24 male-female the category entering, and if you go to colleges and universities, we were seeing that Celsius is that our premium energy drink on campus. So, mister you're seeing Red Bull as that premium offering you're seeing Celsius there and which is great to see.

So, when you look at where we're seeing is it's quite diverse. That's the other kind of interesting attribute of the product. As we continue to get broader distribution. We're seeing, , 18 to 24 resonating really well with that Gen-Z that new consumer entering the category which gives us long lasting growth given the Loyalty within the category, but then we're also seeing, , consumers older demographics as well to consuming the products in their 60s and 70s. If you go to Costco, it's quite interesting watching some of the consumers running through wood cases of cells cases of Celsius and watching check out coolers. So, it's diverse. And that's one thing is that we're all about, we're going inclusion. We look at Celsius, we're inviting, we are aspirational.

We have an aspiration to lift it live healthy and provide that essential energy either inside the gym, the afternoon pick up or just live life to its fullest, and it's resonating with a much broader consumer base. And it could be some of the attributes of the green tea. The green tea forward attributes in the 7 essential vitamins.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

You mentioned earlier premium to monster cheaper than Red Bulls at generally, where you prefer your pricing division?

A - John Fieldly {BIO 17560616 <GO>}

Only that's where our pricing. We like our pricing online too. Certain channels are different. We have some legacy pricing that we're trying to optimized. We continued to optimize and get some brand consistency within the channels, but that's generally where we want to be.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

You took maybe a little bit. You mentioned you to pretty loyal consumer base. Can talk maybe a little bit about your repeat rate you repeat rates. And particular with all these new, distribution has that evolved?

A - John Fieldly {BIO 17560616 <GO>}

We still have a lot to learn, because a lot of the new distributions just been on in the last, you look at the last 12-months you've gained over one and double their distributions. So, we're still learning about that. What we are hearing is, we do have a really high continuity rate and that Evercore report 52% of our sales were coming from increased consumption. Amazon were told, we're have one of the higher continuity rates on Amazon. So, that's great to hear. It's a little bit hard to get the data on the IRI, the recurring purchases there, but we know we have an extremely high loyal consumer and the recurring rates are continuing to grow and that's what you're seeing, you're a growth rate on the revenue, we were constantly chasing a new consumer to purchase. We would not have the growth rates, we have right now. So, we are building a loyal consumer base.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Okay, great. 75% turnover to DSD, as you mentioned earlier. What's the appropriate rate? 85, which the -- it's not probably not 100 some foot?

A - John Fieldly {BIO 17560616 <GO>}

We'd like to have a 100. I mean, we fully optimized with 100. We do have some retailers that require. They want to a direct store distribution model, but we want to get that number as high as we can just do the service levels.

The product sells was walking through on my way here. And you see some empty shops. The CVS was blown out. Ask the store clerk there is any product in the back, I could pull up and he said, no it's gone. We're waiting for our next delivery, so, we need more than a full shops, two full shops at that point. So, and he gets serviced every week he said. So that was great and he said the order was coming in, but there's a lot of opportunity got to have DSD. If you have a high velocity brand, it just doesn't work any other way.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

But you are hybrid. You direct to Costco, direct to -- are you --

A - John Fieldly {BIO 17560616 <GO>}

Direct to Costco, direct to Amazon, there's certain retailers in the country go to the currently go to direct, because they don't have the footprint covered by qua, quick trip with a cafe and Casey's is direct as well, we have some other retailers are.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

How do you manage that relationship with may be our distributors when nothing terrifies, an maybe distributor more than Amazon?

A - John Fieldly {BIO 17560616 <GO>}

No, it does.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

I guess, unions in Amazon's for did you two things?

A - John Fieldly {BIO 17560616 <GO>}

Yes.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

So, how do you manage that relationship going direct?

A - John Fieldly {BIO 17560616 <GO>}

Yes well, that it is a topic of discussion for sure, but really Amazon is helping the retail sales. So, it's actually incremental. It's not taking sales away. So, what we're seeing is, it's working hand-in-hand. You're getting more awareness with Amazon. They're purchasing at the local store. It's all about convenience, consumers want the product, when they want it, how they want it and that's what it's all about. And by working together, we can deliver are we can deliver that and we can grow their market share in the category, even that much quicker. So, it's a balancing act on the SU. It's a balancing act, but it's really helps grow share in an awareness within the territory.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

How about within the ABI houses they're picking up more and more soft drinks, they're also picking up more and more energy drinks? How do you compete in side of the house?

A - John Fieldly {BIO 17560616 <GO>}

That is a challenge. I mean, some of these houses have like nine or ten energy drinks. And it's the what is the new shiny penny of the week that they're, potentially but at the end of the day, it's who's turning at the faster rate, which brand and I'm making the most money on and who is really providing these support for that. So, we are building the infrastructure to support our DSD, talk about that education process, that over side really collaborating with them and then Celsius is over performing in the category. So, we're getting the over performance of focus. You have to in order to win. You have to get focused with it with the DSD partners, and it is competition. There's a lot there, and there's competition every day, in the category of this competition is competition with our distributors, the competition at retail, that's what the games all about.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Do you think about getting to a for share where you are now, really going from 1 to 2, 2 to 4, but it's somewhere around that 4,5 share. We're the best become bigger. It's very different gaining the incremental share point, then you're right on that sort of zone. Often 8, is that magic number that's hard to break through. You're not there yet. How are you thinking about the business differently? How should we be thinking about the business differently in terms of how you need to invest for the incremental share point from where you are now?

A - John Fieldly {BIO 17560616 <GO>}

Yes. And I think that's going back optimizing the EBITDA, and your operating leverage. I mean, you look at that and we are over we are over investing. We need to continue to grab share the opportunity, there's a window of opportunity. We see the window and the next 12-months to 24-months is a massive opportunity for Celsius to continue to grab share, we got really the support of our DSD partners. The marketing team has got great plans scheduled for the back half of this year and into 2023, if you look at here the conference, we have two new great flavors. We got our strawberry, lemonade which is a phenomenal summer flavor. Several of you have arctic bible, see massive opportunities with this pipeline.

So, our Celsius pipeline, we have three great flavors now, we got more flavors coming on the innovation side. And that's really going after that traditional energy drink consumer, that we're seeing we have were more fun, a little bit more inviting with the product and its really resonating, actually, if you look at the SKU count, two of the by flavors are within our top five and they just launched in the last call it 18-months. So, lots of opportunities in the Celsius five line. And yes, something to watch, we'll see where we go 8%, I don't know, the Amazon has it says number two in the category, but we'll see where we go.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

You've hired a lot in recent, I'd say maybe six-months, maybe nine-months. Are you appropriately in fully staffed now or are you still in slight[ph]?

A - John Fieldly {BIO 17560616 <GO>}

We have, I mean, we're going to continue to bring on great talent. We've hired system if this quarter of alone, we've hired over 25 additional employees. I think, we have four schedule that started with us this week, last week we had a eight -- started. So, we're bringing on great talent everyday. We've expanded, we have Tony Guilfoyle, Heads of our Sales, and in the U.S. he's phenomenal, building, further building on -- team -- distributor manage team, the upholstery who heads up our operations team. He came over from Monster built Rockstar and on the supply chain. And we've had Jarrod here with us today here with us today is our CFO is phenomenal came over from a Primo water and -- beverage, got just great talent coming to the team. It's just hired an analyst from Red Bull that joined us has been analyzing us for two-years, so he wanted to join the winning team. So you joined us about a week ago. So, learning a lot of data points and how they're looking at us and how we can leverage that --

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Is the analyst must be good.

A - John Fieldly {BIO 17560616 <GO>}

Yes. We're getting challenges team every day that's what it's about, right? And it's exciting.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

What his whole, this whole story had a supply. What is he discovered as he come in?

A - John Fieldly {BIO 17560616 <GO>}

Well he been -- he's positive phenomenal. And we made a strategic decision. We had capital on the balance sheet, back in October, at about $80 million. And we were in a good cash position. And we made a strategic decision through Paul's connections. We were able to buy cans on spot rate from some of the largest can manufacture. just can't manufacturers.

And that's what allowed us to increase our inventories, and put us in a really good position to really make it through this supply chain disruption that every company added. You saw many beverages over the last 24 months. You lot of them were wrapped, and if our cans were wrapped, you would not want to look at our P&L now. So, that's really tough position. We were buying some rap cans up until that point to kind of continue to the demand, but it is with his success.

I mean, he really put the company up to continue to grab share, get us to the for share in the supply chain. He's opened up great relationships with suppliers, digital manufacturers, suppliers. So, helped us build out the orbit strategy as well, quickly within 6 months and great asset, great addition to the team, and he's brought on some strategic talents as well.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Great. We'll see this is the only place you ran out. You ran out here yesterday too.

A - John Fieldly {BIO 17560616 <GO>}

That's what I hear, Alyssa said, it's ahead.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Yeah, you've got an equity sales force, that is a probably doing some high velocity trading after having --.

A - John Fieldly {BIO 17560616 <GO>}

Excellent.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Actually had enough. Thank you very much.

A - John Fieldly {BIO 17560616 <GO>}

Thank you.

Q - Kaumil Gajrawala {BIO 20703548 <GO>}

Appreciate it.

A - John Fieldly {BIO 17560616 <GO>}

Thank you, everyone.